10.08.2026

NBR Board decisions on monetary policy

In its meeting of 10 August 2026, the Board of the National Bank of Romania decided the following:

to keep the monetary policy rate at 6.50 percent per annum;
to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum;
to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

The annual inflation rate went down in June 2026, in line with expectations, to 10.42 percent from 10.85 percent in May. The fall was almost entirely driven by the pronounced declines in VFE and fuel prices – amid the larger supply of vegetables and fruit domestically and the downward correction in the oil price –, which were only partly counterbalanced, in terms of impact, by the hike in natural gas and electricity prices.

In 2026 Q2 as a whole, the annual inflation rate continued to climb, from 9.87 percent in March, given the significant increases, over this period, in the dynamics of energy, fuel and administered prices, under the impact of base effects and the rise in oil prices, as well as following a notable hike in rents for state-owned housing.

At the same time, the annual adjusted CORE2 inflation rate saw a halt in the slow downward trend it had embarked on at the onset of 2026, rising to 8.3 percent in June 2026 from 8.2 percent in March, as a result of the influences from the indirect effects of costlier fuels and from the increases in the EUR/RON exchange rate and in the dynamics of some import prices, also amid high short-term inflation expectations.

The annual inflation rate calculated based on the Harmonised Index of Consumer Prices (HICP – inflation indicator for EU Member States) rose to 9.2 percent in June 2026 from 9.0 percent in March 2026.

The average annual CPI inflation rate went up to 9.8 percent in June 2026 from 8.5 percent in March 2026, while the average annual HICP inflation rate increased to 8.6 percent in June 2026 from 7.6 percent in March 2026.

The new statistical data reconfirm the standstill in economic activity in 2026 Q1, after the 1.9 percent contraction in 2025 Q4 (quarterly change), which implies a moderate widening of the aggregate demand deficit over the period.

The drop in the annual GDP dynamics – to -1.2 percent in 2026 Q1 from 0.2 percent in 2025 Q4 – is reconfirmed, amid a mildly larger year-on-year contraction in household consumption, but especially as a result of the marked widening of the negative contribution made by the change in inventories.

At the same time, the annual growth in gross fixed capital formation slowed down sharply, solely on account of the decline in the public sector, while net exports halved their expansionary impact in 2026 Q1, as the annual change of exports of goods and services, in terms of volume, saw its positive differential versus that of imports narrow significantly, recording a more pronounced decrease compared to the previous quarter. Consequently, over this period, the trade deficit reported a lower contraction in annual terms, whereas the current account deficit saw a faster year-on-year decline amid the improvement in the evolution of income balances.

The latest data and analyses point to a slight recovery of economic activity in 2026 Q2 and Q3 as a whole, associated with its relatively improved evolution in Q2 compared to the same year-ago period amid similar developments across the major components of domestic demand, yet against the background of mixed developments across the major sectors of the economy.

Thus, retail sales saw a slightly slower decline in annual terms in 2026 Q2 and the growth of motor vehicles and motorcycles sales regained momentum in April-May 2026. During the same period, the annual dynamics of the volume of construction works soared, while industrial output recorded a notably larger year-on-year contraction.

The annual change in exports of goods and services continued to narrow its positive gap against that in imports in April-May 2026, reporting a relatively more modest, albeit significant increase from 2026 Q1. Against this background, the trade deficit saw a halt in its downward adjustment compared to the same year-earlier period, whereas the decline in current account deficit slowed down only mildly, given the marked improvement in the evolution of income balances.

Looking at the labour market, the incoming data show a slower drop in the number of employees economy-wide in April-May 2026, alongside a slight decrease in the ILO unemployment rate in 2026 Q2 as a whole, from the 6.4 percent average it had gone up to in Q1. At the same time, the July surveys point to a rebound in very short-term employment intentions, after two quarters of sizeable contractions, but also to a stronger narrowing to a 6-year low in the labour shortage reported by companies, on account of developments in industry and services. The annual growth rate of nominal gross wage continued to decline in April-May 2026, to reach historically low levels, while the annual change in unit labour costs in industry witnessed a jump in May, thus posting a renewed pick-up in the first two months of 2026 Q2 overall.

The main interbank money market rates further followed a linear path in July 2026, while medium- and long-term yields on government securities halted their downward adjustment at the beginning of the month and subsequently embarked on a slowly upward, albeit winding course amid the renewed escalation of the Middle East conflict. The EUR/RON exchange rate stayed at the higher values it had returned to in the last 10-day period of May, posting slightly lower swings in July, inter alia amid the action of domestic seasonal factors, and the USD/RON rate quasi-stabilised at the higher readings seen in the previous month, in correlation with the US currency’s movements on international financial markets.

The annual growth rate of credit to the private sector stepped up visibly in June 2026, reaching 8.4 percent against 7.7 percent in May, as the rate of change of the leu-denominated component increased markedly, after 5 quarters of steadily falling, whereas that of foreign currency credit further advanced rather swiftly. The share of leu-denominated loans in credit to the private sector narrowed marginally in June, to 66.8 percent from 66.9 percent in May.

In today’s meeting, the NBR Board examined and approved the August 2026 Inflation Report, which incorporates the latest available data and information.

According to the forecast in the Report, the annual inflation rate will see a substantial downward correction in 2026 Q3, as previously anticipated, once the direct effects from the expiry of the electricity price capping scheme and the increases in VAT rates and excise duties have faded away. Moreover, after slightly fluctuating in 2026 Q4, it is expected to gradually decrease, re-entering the variation band of the target at end-2027, under the impact of disinflationary base effects associated with the recent price hikes induced by the energy shock, as well as amid the strengthening of underlying disinflationary pressures, especially those from the aggregate demand deficit; the latter will further widen over the near term, falling to lower-than-previously-envisaged levels – given the budgetary correction, but also the global energy crisis – and will progressively narrow thereafter.

Notable uncertainties and risks stem from the future developments in electricity and food prices, amid this year’s severe drought, as well as from the path of crude oil prices, with implications for other commodity prices and the international prices of some intermediate and final goods.

Heightened uncertainties are still associated, also in the current domestic political situation, with potential future measures to continue budget consolidation beyond this year, in line with the National Medium-Term Fiscal-Structural Plan agreed with the European Commission and with the excessive deficit procedure.

Significant uncertainties and risks to the outlook for economic activity, implicitly the medium-term inflation developments, arise, however, also from the Middle East conflict and the energy crisis, via the effects they may exert, through several channels, on consumer purchasing power and confidence, as well as on firms’ activity and profits, inter alia by affecting the dynamics of economies and inflation in Europe/worldwide and the risk perception towards the region, with an impact on financing costs.

At this juncture, the absorption and use to the maximum of EU funds, especially those under the NRRP, are essential for partly counterbalancing the contractionary effects of budget consolidation and of the Middle East conflict, as well as for carrying out the necessary structural reforms, energy transition included.

The ECB’s and the Fed’s monetary policy decisions, as well as the stance of central banks in the region, are also relevant.

Based on the currently available data and assessments, as well as in light of the high uncertainties, the NBR Board decided in the meeting held today, 10 August 2026, to keep the monetary policy rate at 6.50 percent per annum. Moreover, it decided to leave unchanged the lending (Lombard) facility rate at 7.50 percent per annum and the deposit facility rate at 5.50 percent per annum. Furthermore, the NBR Board decided to maintain the existing levels of minimum reserve requirement ratios on both leu- and foreign currency-denominated liabilities of credit institutions.

The NBR Board decisions aim to ensure and maintain price stability over the medium term, in a manner conducive to achieving sustainable economic growth. The NBR Board reiterates that, at the current juncture, the balanced macroeconomic policy mix and the implementation of structural reforms, also by using EU funds to foster the growth potential over the long term, are of the essence for a stable macroeconomic framework and for strengthening the capacity of the Romanian economy to withstand adverse developments.

The NBR closely monitors developments in the domestic and international environment and stands ready to use the tools at its disposal in order to achieve the fundamental objective regarding medium-term price stability, while safeguarding financial stability.

The new quarterly Inflation Report will be presented to the public in a press conference on 13 August 2026 at 11:00 a.m. The account (minutes) of discussions underlying the adoption of the monetary policy decision during today’s meeting will be posted on the NBR’s website on 21 August 2026 at 3:00 p.m.

The next monetary policy meeting of the NBR Board will be held on 8 October 2026.

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